Differentiation strategies in emerging markets: The case of Latin American agribusinesses

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3 authors:

Luciano Ciravegna
King's College London

Esteban R. Brenes
INCAE Business School, Alajuela, Costa Rica

Daniel Montoya C.
INCAE Business School

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Differentiation strategies in emerging markets: The case of Latin American agribusinesses

Esteban R. Brenes [a,*], Daniel Montoya [a], Luciano Ciravegna [b]

[a] INCAE Business School, 1.2 km Vivero Procesa La Garita, Alajuela, Costa Rica
[b] Royal Holloway School of Management, University of London, London, United Kingdom

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ABSTRACT

This study furthers the research agenda on Porter's generic strategies by exploring their implementation by firms that suffer from under representation in the literature. It focuses on agribusinesses based in emerging markets that specialize in high value added products. Relying on information collected through interviews, and a survey with 66 agribusinesses based in eight countries of Latin America, it examines the factors that distinguish firms implementing a differentiation strategy (DS). The findings provide interesting insights for scholars and practitioners alike, illustrating the strategic initiatives that DS firms use to ensure they command higher than average prices.

1. Introduction

Porter (1980, 1985) stimulates an ongoing academic debate about whether or not generic strategies are an accurate tool to analyze and explain the behavior of companies in the real world (Campbell-Hunt, 2000; Dess & Davis, 1984; Kotha & Vadlamani, 1995; Pertusa, Molina, & Claver, 2009; Robinson & Pearce, 1988). The debate has generated a large body of empirical evidence, but it has focused mainly on the manufacturing and service industries in the US, Europe and Japan (Dominguez & Brenes, 1997). The main objective of this study is to expand the research agenda by examining the implementation of generic strategies by firms operating in sectors and geographic areas that have thus far been under represented. We focus on agribusinesses based in Latin America.

Agribusiness is attracting increasing levels of attention from multilateral organizations, policy makers, and civil society for several reasons, ranging from concerns with food security and climate change, to the implementation of shared value strategies (Food and Agriculture Organization, 1999; Garcia, 2005; Porter & Kramer, 2011). Latin America is the leading emerging market region in terms of agricultural exports, and a key supplier for China (Da Silva, Baker, Sheperd, Jenane, & Miranda-da-Cruz, 2009; Rosales & Kuwayama, 2012). Nonetheless, Latin American agribusiness remain grossly under-represented in strategic management studies (Aulakh, Kotabe, & Teegen, 2000; Nicholls-Nixon, Davila, Sanchez, & Pesquera, 2011).

Given the difficulty of accessing information, many of the studies of emerging market firms limit their analysis to multinational corporations and public companies, which are neither the most common business types nor the type that are likely to diverge the most from Western managerial practices (Khanna & Palepu, 2010). This study furthers the research agenda on emerging market firms that are private and not part of multinational business groups. Gathering new empirical evidence on Latin American firms' implementation of strategic notions originally developed to suit Western companies contributes to strategic management theory development and also provides important insights for managers and entrepreneurs operating or wishing to operate in these markets.

Several studies recommend the use of mixed methods for the refinement of research questions, especially when studying empirical contexts yet to be examined (Bryman, 2006; Hoskisson, Eden, Lau, & Wright, 2000; Robson, 2011; Tashakkori & Teddlie, 1998). Given that there is very little evidence about Latin American agribusinesses and their managerial practices, our research is exploratory in nature and adopts mixed methods to examine the factors that distinguish firms implementing a differentiation strategy (DS) from other firms (NODS) (Eisenhardt, 1989; Yin, 1994).

The paper is organized as follows. Section 2 presents the conceptual model underlying the study. Section 3 describes the methods. Section 4 is a discussion of the results. Section 5 concludes and provides implications for emerging market agribusinesses.

* Corresponding author.
E-mail addresses: esteban.brenes@incae.edu (E.R. Brenes), daniel.montoya@incae.edu (D. Montoya), Luciano.ciravegna@rhul.ac.uk (L. Ciravegna).

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2. Generic strategies — theoretical background and key dimensions

Strategy at the strategic business unit (SBU) level is defined in terms of a clear strategic direction and positioning. Key direction components include vision, mission, and strategic objectives. Positioning is determined by defining where and how the company competes. Where, relates among other things, to market segments the company serves, the firm's line of products and services, geographic scope and business scope — horizontal or vertical integration and diversification (Brenes & Mena, 2003). How, has to do with the type of generic strategy the company uses to compete (Porter, 1985). Porter (1980, 1985) has pointed out the existence of three kinds of generic strategies: cost leadership, differentiation, and focus. These three generic strategies consolidate into two basic strategies, cost leadership and differentiation, which means that focus generic strategy is actually complementary and is obtainable in both cost leadership and differentiation strategies (Brenes & Mena, 2003; Campbell-Hunt, 2000).

Some authors argue that Porter's generic strategies are a valid construct but that they are not necessarily exclusionary, as companies may implement both cost leadership and differentiation simultaneously (Acquaah & Yasai-Ardekani, 2008; Pertusa et al., 2009). Nonetheless, the idea that generic strategies should be implemented in a “pure” form continues to find support in the literature (Chew, 2000; Jones & Butler, 1988; Porter, 1996; Reitsperger, Daniel, Tallman, & Chismar, 1993; Sashi & Stern, 1995; Treacy & Wiersema, 1995). A study of 2351 firms provides further empirical evidence supporting Porter's theory, showing that firms that have a clear generic strategy (either differentiation or cost leadership), perform better than firms that do not (Thornhill & White, 2007). Despite receiving wide coverage in the relevant literature, the study of generic strategies has thus far mostly neglected agribusinesses, especially those based in emerging economies (Baack & Boggs, 2008; Gopalakrishna & Subramanian, 2001).

Cost leadership is one of the most common generic strategies of agribusinesses. Firms achieve cost leadership via various means depending on specific agricultural activity. Non-exclusive common devices help reduce costs which may be structural, performance-related, and/or external (Brester & Penn, 1999; Ketelhöhn, Brenes, & Pérez, 2012). Companies implementing cost leadership strategies tend to specialize on certain products and/or services, they constantly invest in cutting-edge technology and equipment, they are skilled in process design and re-design, and they use distribution channels that generally contribute to reduce their costs. Additionally, their structure and organization ensure tight cost control, the existence of frequent and detailed reports, allocation of highly-structured responsibilities, and generally, a package of incentives based on quantitative performance (Ketelhöhn et al., 2012; Porter, 1980, 1985).

The generic differentiation strategy is achievable by different means; non-exclusive common criteria also contribute to success (Porter, 1980, 1985). These criteria may be either of signal or use. Signal criteria can include price, brand image, packaging quality and time in business (Sporleder & Liu, 2007). The price of a product for a company that decides to compete through a differentiation strategy should be higher than that of its competitors. Price indicates that the product or service is truly differentiated by whatever means. Consumers who try the product or service and are not satisfied will not use it anymore. That is why price is considered as a signal factor that must be sustained over time (Porter, 1980, 1985).

Use criteria include product or service quality and features, breadth of product line, technology used, customer service, delivery time and an effective distribution system. Characteristics of firms implementing a differentiation strategy include being strong on marketing, product and service engineering, creative instinct, research and development, quality, and cooperation with distribution channels (Porter, 1985). To attain success they require strong coordination between research and development, product and service development and marketing, qualitative incentives and highly trained creative staff (Porter, 1980, 1996).

Fig. 1 presents the conceptual model developed to study the implementation of generic strategies by Latin American agribusinesses. The model dimensions summarize the key strategy topics in the literature (Anand, Brenes, Karnani, & Rodríguez, 2006; Baker, Wysocki, House, & Batista, 2008; Boehlje, Gray, & Detre, 2005; Brenes, Mena, & Molina, 2008; Gibson, Brenes, & Barahona, 2011; Pearce & Zahra, 1991; Porter, 1980, 1985; Robinson & Pearce, 1988; Skarzynski & Gibson, 2008; Sporleder & Liu, 2007). To build the model, we combined the strategy literature with qualitative information collected via interviews with the senior executives of 17 Latin American agribusinesses. We then validated the model by discussing it with the executives in a second round of interviews (Creswell, 2009; Robson, 2011).

The strategic dimensions include: Management Quality, Innovation Capability, Agribusiness Scope, Marketing Skills, and Operations Skills. The components of each dimension are described below.

Management Quality refers to the ability to formulate, operationalize, and implement business strategy (Anand et al., 2006; Brenes et al., 2008; Robinson & Pearce, 1988). Management Quality begins with the agribusiness firm's ability to formally define strategy and its review and adaptability to environmental changes (Boehlje et al., 2005). Skills in the field of corporate social responsibility (CSR) and responsible environmental management are also relevant components. Company's ability to operationalize strategy requires management to be able to observe and use best management practices, invest in training and implementing information technologies. Finally, strategy implementation is largely dependent on the presence of a formal board and a high-quality management team with strong human resources skills (Pearce & Zahra, 1991).

Innovation Capability relates to senior management support to innovation and research and development and the company's willingness to develop open innovation (Gibson et al., 2011; Robinson & Pearce, 1988; Skarzynski & Gibson, 2008). Leadership is shown in the firm through internal ability to innovate, the willingness to invest in innovation taking greater risks and the effective development of new products and processes on a regular basis every year. Another key component is the firm's ability to undertake the search of new ideas through open innovation where, in addition to its own research and development it shares its activities with academic institutions (Baker et al., 2008), among others.

Agribusiness Scope includes two key components, geographic scope and the degree of vertical integration (Anand et al., 2006). In relation to geographical scope it is important to evaluate where different agribusiness firms compete, how they compare to each other, and if their positioning provides a typology. The degree of vertical integration must be compared, too, taking into consideration the use of distribution and logistics services through third parties, as well as the existence of company's own points of sale.

Marketing Skills comprises general marketing skills vis-a-vis competitors. This identifies skills in areas such as advertising, promotion and others (Porter, 1985). The second component, market intelligence, includes knowledge of customers and the level of use of information technology in external relations. The third component is product line; this component includes the use of own brands, breadth of product line and use of origin (place, country, or region) as a marketing tool (Robinson & Pearce, 1988; Sporleder & Liu, 2007). The fourth component is domestic and international certifications; the fifth is distribution skills.

Operations Skills have to do with relations with suppliers, degree of processing, production quality, and investment levels (Porter, 1985). The first indicates the quality of supplier relationships and relative prices the company pays to suppliers versus its competitors. The second relates to the degree of processing which varies, either as primary production (no processing,) simple processing (cleaning and sorting) and complex processing (cutting, mixing, cooking, pasteurization, canning,

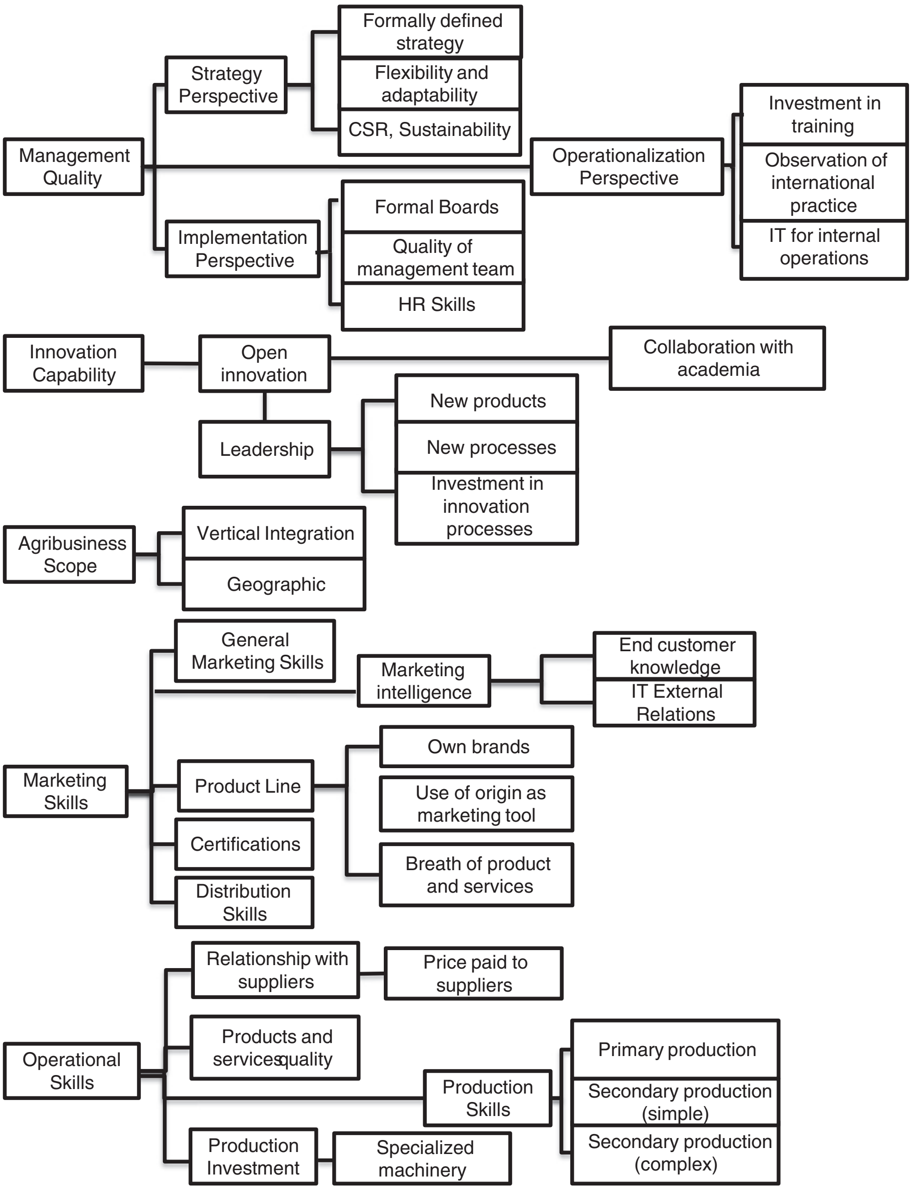

Fig. 1. Conceptual model.

texturing, or lyophilizing) and product quality level (Austin, 1992). Finally, the last component would be the kind of investment in cutting-edge machinery.

Having developed the model described above, we tested it with a sample of agribusiness entrepreneurs to verify in which dimensions the firms implementing a differentiation strategy differed from others.

3. Research design and methods

This study examines strategy implementation by emerging markets' agribusinesses—firms that operate in agriculture, fishery, livestock or forestry (Table 1). It focuses on high value added agribusinesses. We define high value added agribusinesses as firms that have managed to climb the value ladder, so that they do not focus solely on basic agricultural production but also additional activities such as washing, cleaning, processing, packaging, and distribution (Table 2). These activities increase the final value of the good by enhancing some of its intrinsic features, such as nutritional value and transportability (Austin, 1992; Food and Agriculture Organization, 1999; Garcia, 2005; World Bank, 2011).

The study focuses on these businesses because they have a broader set of strategic choices than the producers of commodities, especially with regard to positioning (Garcia, 2005). Thus, studying them has implications for other businesses. Additionally, emerging markets' share of the global high-value added agroproduction is steadily increasing (Da Silva et al., 2009).

The study focuses on firms based in Latin America because the region has become a leading global exporter of agricultural products,

Table 1
Agribusiness activities of the firms included in the survey.
Source: Authors' elaboration based on information gathered from the survey.

Agribusiness field	Number of firms[a]
Agriculture	50
Livestock	17
Fishery	3
Forestry	9

[a] Do not add up to 66 since some firms report more than one activity.

Table 2
High and low value added agroproduction in Latin America.
Source: Food and Agriculture Organization, 1999; World Bank, 2011; Garcia, 2005.

	Humid tropics	Temperate
Countries (Latin America)	Brazil (North), Costa Rica, Colombia, Cuba, Dominican Republic, Ecuador, El Salvador, Haiti, Honduras, Jamaica, Mexico (South), Nicaragua, Panama, Peru, Venezuela, Suriname, Guyana, French G.	Argentina, Brazil (South), Chile, Uruguay, Paraguay
Low value added products	Banana, pineapple, mango, melon, avocado, corn, beans, rice, fresh vegetables, capsicum, tomato, coffee, cocoa	Apples, grapes, pears, plums, wheat, corn, soy, barley, oats, fresh vegetables, tomato
High value added products	Packaged fruit, frozen fruits, fruit juices, jute, flour, dairy products, sauces, sugar, cooked meats, other processed foods, roasted coffee, chocolate	Flour, dairy products, fruit juices, cooked meats, other processed foods

driven by the innovativeness not just of multinational corporations but also of local companies (Da Silva et al., 2009; Rosales & Kuwayama, 2012). Nonetheless, there is scarce empirical evidence on Latin American agribusinesses (Aulakh et al., 2000; Nicholls-Nixon et al., 2011). This is why we focused on this specific type of business and region.

To develop the conceptual model, between January 2006 and September 2011 we carried out over 90 h of open ended conversations with the entrepreneurs, founders and senior executives of 17 agribusinesses. We visited each business several times to discuss with the executives their business plans, strategy formulation and strategy implementation. This helped us identify the areas where these firms take initiatives aimed at implementing their strategy, such as innovation and marketing. We carried out this exercise in order to understand the components of their strategy implementation, which, given their highly contextual nature of emerging markets and of the agrosector, may not have been described by strategic management theorists (Creswell, 2009; Dominguez & Brenes, 1997; Nicholls-Nixon et al., 2011; Porter, 1985). We triangulated the information collected with company reports, studies of the agribusiness sector, and the literature to design the model shown in Fig. 1 (Austin, 1992; Food and Agriculture Organization, 2007; Ketelhöhn et al., 2012; Yin, 1994).

On the basis of the conceptual model and the generic strategies theory, we developed a questionnaire to collect further information. We then collected data from 66 Latin American agribusinesses and discussed the results with the 17 firms that originally helped us build the model to develop a more refined version. The model provides the basis for further research on agribusiness strategy by suggesting a series of key dimensions of strategy that distinguish DS firms from NODS and also a set of interactions between such dimensions. We used this sequential mixed method in order to integrate the information collected and interpret it through different techniques, laying the basis for more structured quantitative research (Robson, 2011). Mixed methods are useful for exploratory purposes and to refine research hypotheses when examining subjects under-represented in both the theoretical and empirical literature, such as Latin American agribusinesses (Creswell, 2009; Hoskisson et al., 2000; Robson, 2011; Tashakkori & Teddlie, 1998).

In order to have a more homogenous sample we limited the study to the humid tropics of Latin America, a region that extends from the south of Mexico to Northern Peru and Brazil (Table 2), though our research framework can be applied to other regions (Food and Agriculture Organization, 1999). This restriction is due to the nature of agribusinesses for example, the climatic zones where they operate affects the products agrobusiness firms specialize (Garcia, 2005). Given that they are the most common type of business in emerging markets, we focused on entrepreneurial agribusinesses — firms where entrepreneurs and their extended families continue to play an important managerial role (Khanna & Palepu, 2010). Finally, we focused on Latin America because it suffers from under-representation in the business literature (Nicholls-Nixon et al., 2011). Our inclusion criteria include high value added entrepreneurial agribusinesses based in the humid tropics of Latin America. The study excludes firms that are public (listed on the stock market), multinational corporations and firms that perform only low value added agricultural activities (basic production).

We contacted by phone and email 275 high value-added agribusiness firms based in 8 Latin American countries that have humid tropical regions (Food and Agriculture Organization, 1999). The firms were identified through Trade Promotion Boards, Industrial Chambers, Commercial Guides and other, asking whether their CEO, General Manager or entrepreneur was willing to take part to the study by completing our questionnaire. We then sent the questionnaires using Zoomerang online survey software. The response rate was 31.3% for 86 agribusiness firms, but 20 incomplete forms were discarded because of missing data. Our final sample included 66 firms from 8 countries, Costa Rica, Dominican Republic, Guatemala, Honduras, El Salvador, Nicaragua, Ecuador and Peru. Information on firms from different agricultural sectors and countries allows us to discover patterns that have been less influenced by specific circumstances, and thus more typical of Latin America's humid tropics and of emerging economies in general.

Executives were asked to fill out a form containing questions that provided relevant information to our conceptual model in relation to its five dimensions. They were given a number of questions, some yes/no questions and others to be answered using the Likert 1 to 7 scale. This research method was considered the most appropriate to collect first-hand data on skills and initiatives that companies are actually developing (Dess & Davis, 1984; Robson, 2011; Suresh & Bhatt, 1995). Most Latin American agribusiness, as most firms based in emerging markets, do not provide systematic information to any particular database and are not listed on domestic or regional stock exchanges (Khanna & Palepu, 2010).

Companies implementing a differentiation strategy should command average prices above those of competitors (Porter, 1985; Thornhill & White, 2007). We used this criterion to distinguish the firms implementing a differentiation generic strategy (DS) from the others (NODS) and comparing how they implement their strategy. Given the lack of available formal data, the option seen as most appropriate to obtain the information needed was directly asking if the firm commanded prices consistently above those of competitors. This is consistent with an established practice in strategic management research (Acquaah & Yasai-Ardekani, 2008; Bowman & Ambrosini, 1997). Agribusiness firms answered this question using the Likert scale from 1 to 7. All those who answered with 5, 6, or 7 (high price, very high price, and much higher price than competitors, respectively) were listed as implementing a generic differentiation strategy (DS). Based on this measurement, the sample consisted of 33 companies with differentiation strategies and 33 firms implementing cost leadership or being stuck in the middle (NODS). In the next section we discuss the results, developing some propositions to be tested with further research.

4. Results and discussion

For all five selected dimensions agribusiness firms implementing a differentiation generic strategy obtain higher average values than those that do not, either because they implement a cost leadership strategy or are stuck in the middle with no clearly defined generic strategy. See Fig. 2 for details.

To identify the dimensions really making a difference between the two selected reference groups, the differences between the scores mentioned above were estimated; see Fig. 3. Results indicate that innovation capability (0.56) and marketing skills (0.55) show the most significant differences, as the key dimensions setting apart the agribusiness firms that implement a DS from others. These are followed by agribusiness scope (0.36), operations skills (0.30), and management quality (0.20) respectively. It should be clarified, however, that given the exploratory nature of this research, "significant" is used to indicate rather than to denote statistical significance (Robinson & Pearce, 1988).

Next the discussion focuses on the areas where strategy implementation differ the most between DS and NODS firms.

4.1. Innovation Capability

Innovation capability relates to specific company features such as whether or not innovation is embedded in the firm's DNA and whether it affects performance. This study suggests that DS firms have invested more in developing their innovation capability than NODS. In our model innovation capability consists of two components: leadership and open innovation.

Leadership relates to support given the overall organization by top management in relation to innovation (Calori & Ardisson, 1988; Porter, 1985; Skarzynski & Gibson, 2008). This study identifies leadership as made up of the process innovation within the firm and the number of new products and processes brought to the market versus competitors (Dhamvithee, Bhavani, Jangchud, & Wuttijumnong, 2005; Sanchez, 1995). Seventy-three percent of the firms following DS describe innovation internal processes as high, very high or excellent, 61% bring new products to market to a degree that is high, very high or much higher than their nearest competitors, and 48% introduced processes to a high, very high or much higher degree than their competitors while only 58, 33 and 27% respectively of NODS do so. Results indicate that DS companies invest 50% more than NODS in research and development and 18% of them invest over 7% of their sales, while only 3% of the NODS firms do so.

Open innovation is related to investment and company openness to receive inputs from both inside and outside the organization in its innovation processes (Baker et al., 2008; Chesbrough, 2003; Skarzynski & Gibson, 2008). To measure open innovation this research focused on company's relationship to academic organizations. Agribusiness firms implementing a DS relate to academic institutions more intensively than NODS firms. When only taking firms that combine internships and research in their relationship with academic institutions, DS firms exceed 100% NODS firms. Grupo Britt N.V. is a Curacao based food and retailing company with operations in fourteen countries of the Americas. The company supports innovation from the CEO's office through their quality policy, has an innovation head reporting to the CEO and established formal products and processes development system embedded in the culture of the organization and counting

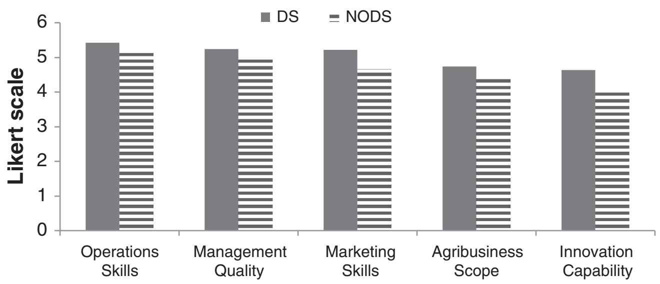

Fig. 2. Average results for all dimensions.

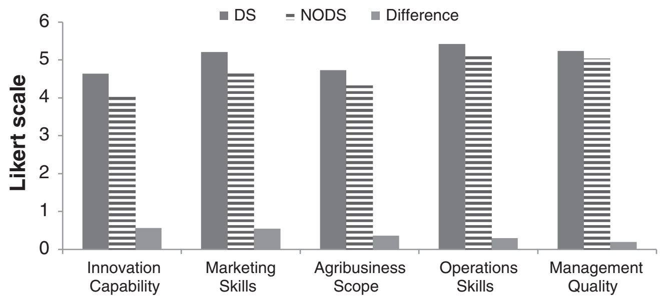

Fig. 3. Major differences between the strategic dimensions of agribusiness firms.

with a systematic intervention of external sources that allow them to constantly think in new forms of innovation.

4.2. Marketing Skills

Companies implementing a DS are generally strong in marketing, which means having broad skills and capabilities in this area, knowing the customer, having a wider range of products and services, striving for their quality recognition and developing important skills and effective distribution systems. This dimension consists of five components: general marketing skills, market intelligence, product line, certifications, and distribution skills. Price was excluded from this dimension as it is the variable we have chosen to identify companies implementing a DS (Porter, 1980, 1985). Results indicate that general marketing skills are high, very high or excellent for 73% of DS firms as opposed to only 48% for NODS. Market intelligence includes degree of knowledge of end customers and use of information technology in external relations. Ninety one percent of DS firms report high, very high or excellent knowledge of end customer profile while only 72% of NODS do so. Information technology in external relations did not show any difference among the two groups of firms.

Product line includes the use of owned brands, breadth of product line and services and the use of origin (place, country or region) in promoting products. The use of own brands allow firms to create value and appropriate that value for shareholder in the long run, a wide range of products and services is a feature common to companies implementing a DS and the use of origin as a source of differentiation has taken much momentum in the last few years. Eighty two percent of DS firms use their own brands to a high, very high, or extreme degree, 73% have a product line which is high, very high, or much higher than that of their competitors and 76% report that make a high, very high or extreme use of origin, either place, country, or region to market their goods compared with 67, 45 and 70% respectively for NODS firms. Sixty percent of the 82% reported above sells more than 75% of their products and services under their own brands. One of the companies analyzed a mango producing and exporting company started operations from a very detailed market and business analysis deciding beforehand which varieties to cultivate for each target international market. This is more interesting if we compare that with other firm from the same industry that decided only on the grounds of agriculture conditions the varieties to cultivate. They discover very late that their variety choices were not selling well in the target makers. La Canasta, a Salvadorian company that sells powder beverages, species, and many other autochthonous products stressed brand building in their implementation strategy on the premises of their Salvadorian origin. According to the top management of the firm this is done to differentiate and position their products in the US market against competitors.

Agribusinesses use certifications as a marketing tool that provides specific guarantees to potential customers about product or service features. Fifty-eight percent of DS firms say they have a high or very high, or much higher number of international certifications than their competitors while only 33% of NODS state the same.

Companies with a DS tend to proactively contribute to distribution channels to ensure success in their distribution strategy. The results show that 70% of agribusiness firms implementing a DS report high, very high or excellent distribution skills, while only 58% of NODS say the same. Grupo Britt NV had an outsourced distribution company at the end of the 1990s. This distributor was not focused and did not understand the differentiation characteristics of Britt's products and services. Therefore, they decided to take over their own distribution to the different channels, such as restaurants and cafeterias, hotel and tourist spot stores and high end supermarket chains. This was a very important step in Britt's later growth and success.

4.3. Agribusiness Scope

This dimension consists of two components, geographical scope and degree of vertical integration (Anand et al., 2006). Seventy nine percent of DS firms operate in one or two countries, whereas NODS target one to five countries. During the interviews it emerged that DS firms' emphasis on commanding higher than average prices forces them to conquer markets in a more gradual way, to ensure that they can establish their brand and be truly different from competitors. The theory does not indicate whether a DS firm should use distribution channels and logistics services from third parties or should have its own sales points (Goldsmith & Gow, 2005). DS firms in our study are on average more vertically integrated than NODS, 67 versus 39%. DS firms are focused on forward vertical integration more strongly than the NODS group. Monteverde, a Costa Rican dairy producer, used an external distributor for many years with average results. In 2008, it decided it was time to improve distribution and after discussing several options it acquired a distribution company specialized in cold and frozen distribution. Today this vertical integration is providing them with a competitive edge given improved market knowledge and service to customers.

4.4. Operations Skills

The differences between some dimensions such as innovation capability, marketing skills, and agribusiness scope for DS and NODS companies are much larger than the differences found between these two groups for operations skills. The first component of operational skills is relationship with suppliers and includes relationship quality and the prices agribusiness firms pay for their inputs or raw materials. The results show no significant difference between DS and NODS firms for this component.

Production skills are primary production skills, secondary production skills with a simple processing degree, secondary production skills with a complex processing degree, and product and service quality as compared to closest competitors. The results reveal that in all production levels agribusiness firms implementing a DS are better than the other group. The largest percentage difference occurs in secondary production with a complex degree of processing. No significant difference occurs for product and service quality.

Investment in production was measured by the use of highly specialized machinery in different stages of production. The results show that 70% of DS firms indicated high, very high or extremely high use of specialized machinery, while 79% of NODS reported the same intensity of use. This result draws much attention and could be seen as contradicting previous results. The reason for this could be, first, that agribusiness firms implementing a DS depend less on investment and the use of highly-specialized machinery, even though, their processing level is more complex it might not be necessarily the result of the use of such equipment. Second, most NODS agribusiness firms could be following cost leadership. As noted above, that kind of strategy is usually associated with continued investment in equipment and technology to achieve economies of scale and reduce production costs.

4.5. Strategic Management Skills

Even though all business firms have a strategy, not all of them have an explicit strategy. In many cases, strategy is just a set of ideas in the mind of the company's president or CEO. However, additional probing indicated that strategy differs in line with different people. This difference is why strategy must result from a formal, well-researched and documented process (Anand et al., 2006; Brenes et al., 2008). Also, the organization must ensure the operationalization of the strategy and its proper and timely implementation, aligning the organization and providing detailed tracking (Brenes et al., 2008). This dimension consists of strategy, operationalization, and strategy implementation perspectives. Strategy perspective indicates that 51% of DS firms have a formally defined strategy, resulting from a prior strategic assessment and developed in conjunction with various levels of the organization compared to only 39% for NODS. Both groups show a strong strategic flexibility and adaptability. Agribusiness using DS showed high, very high, or much higher degree of CSR activity and responsible environmental management as compared to competitors.

Operationalization perspective includes observation and use of international practices, investment in training and use of information technology in internal operations. According to the results, 76% of DS firms show high, very high, or excellent degrees of staff training, while 55% of NODS state the same. In fact, DS firms invest 20% more in staff training than firms that do not. The other two components were similar for both groups.

Strategy implementation is made up of the existence of a formal board, management team quality, and possessing HR skills. Sixty seven percent of DS firms indicate that the quality of their management team is either very good or excellent, while only 48% of NODS makes that claim. The results show no significant difference in the use of formal boards and human resource management skills.

Integrating the results of our survey with the information collected through interviews, we refined our conceptual model. Table 3 summarizes the main distinguishing features of Latin American agribusinesses implementing DS strategies.

Fig. 4 illustrates how the different dimensions of the model may interact. DS companies invest more in innovation, which helps them develop new products and processes and improve their operations.

Table 3
Key differences of firms implementing a differentiation strategy.

1) Innovation Capability

- Stronger investment in innovation
- More likely to cooperate with external organizations

2) Marketing Skills

- Stronger general marketing skills
- Stronger knowledge of end customers
- Stronger use of proprietary brands
- Stronger use of product origin
- Broader product/service line
- More investment in obtaining international certifications
- Stronger distribution knowledge: Either to own or outsource those services

3) Agribusiness Scope

- More gradual internationalization process
- More likely to be vertically integrated

4) Operations Skills

- Stronger production skills in secondary or value added industrial processes

5) Management Quality

- More formalized strategy formulation processes
- More likely to use of CSR and responsible environmental management practices
- Higher investment in qualified managers
- More likely to engage in continuous training of workforce

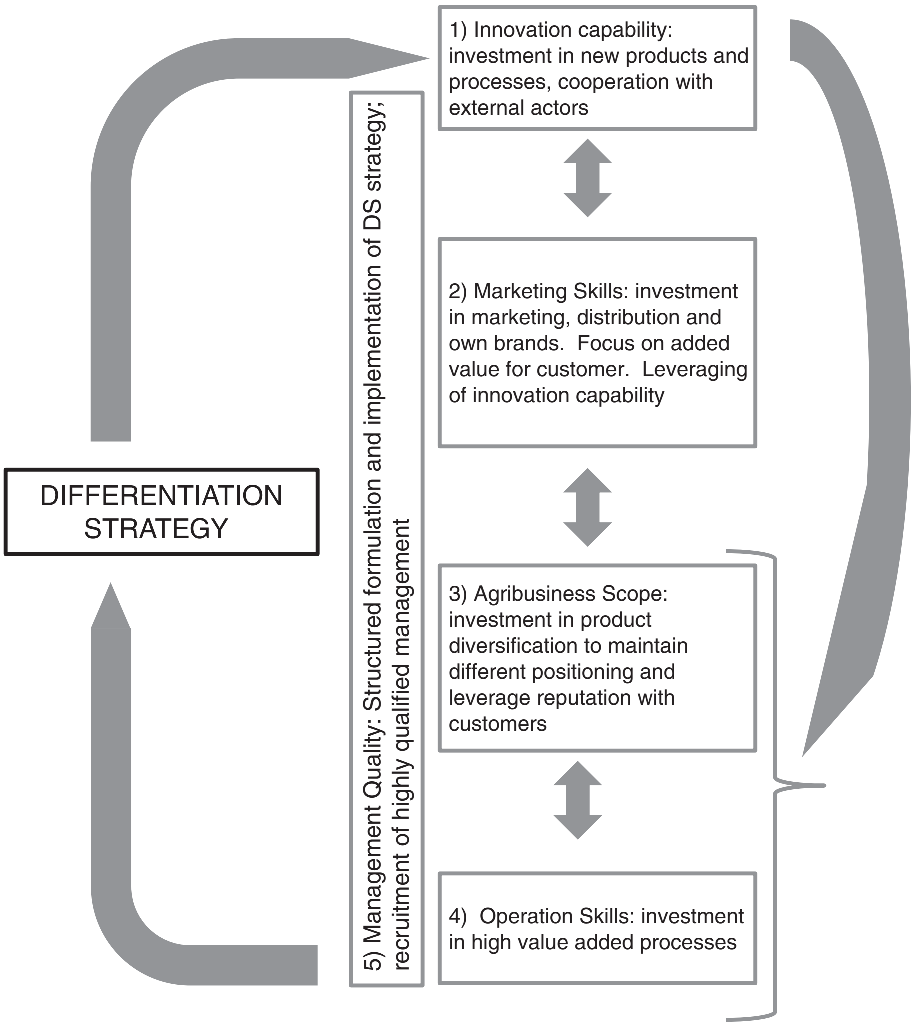

Fig. 4. DS strategy in Latin American agribusiness — dimensions and interactions.

They put more emphasis on marketing, which allows them to build and maintain their positioning in the market, for example by developing their own brands. Their scope is broader in terms of products and processes, not necessarily in terms of geography. They implement strategy in a more formal and structured manner, employing more skilled personnel, and this should help them achieve their objectives on all of the other dimensions. Our model provides the basis for further research by suggesting how Porter's generic strategies may be applied to study Latin American agribusinesses but also different ways in which strategic dimensions may affect each other. The next step should be to develop specific hypotheses starting from the model and test them rigorously.

5. Conclusions and implications

This article presents a conceptual framework to study the implementation of generic strategies by emerging market agribusinesses. The study develops the model relying on empirical evidence that we collected directly through repeated face to face interviews with the entrepreneurs of 17 Latin American agribusinesses. We then tested it with 66 firms based in eight countries of the humid tropics of Latin America and discussed the results by integrating them with the qualitative information we collected through interviews.

The study finds that innovation capabilities, marketing skills, and agribusiness scope are the three key dimensions setting apart an agribusiness firm that competes using a DS from those implementing cost leadership strategies or that are stuck in the middle (NODS). Both innovation capabilities and marketing skills have a direct effect on the way a firm is perceived by its clients, and thus also on the clarity of its positioning in the market. By developing new products a firm can generate new value for customers and thus differentiate itself from competitors. By marketing a firm can ensure its innovation efforts are perceived in terms of higher value by customers, whether as new products or superior quality. Agribusiness scope can also be perceived by customers if a firm diversifies its range of products, strengthening its brand and position in a given market — for example offering not only milk, but also cheese and yoghurt.

The NODS firm in our sample operated in more markets than DS firms. The qualitative information we collected suggests that Latin American agribusinesses that adopt a DS strategy are relatively conservative in their internationalization — before entering new markets they diversify their products, improve their processes and strengthen their brands domestically. They do so in order to command higher prices and maintain this strategic position vis a vis competitors. Given that they do not compete on low cost products, DS firms enter new markets only if and when they can command higher prices by differentiating themselves from other producers.

On the other hand, NODS firms do not attempt at creating additional value by differentiating themselves from competitors. To grow, they try entering new markets using the same products and processes but offering lower prices than their competitors. Our fieldwork suggests that it is easier for producers to enter new markets through a NODS strategy.

The exploratory results here illustrate that Latin American agribusinesses that adopt differentiation strategies do indeed behave differently from others, investing more resources in specific activities that are functional to their strategy, such as generating a broad range of products. Although operating in contexts that are highly different from those of developed economies, Latin American agribusinesses implement generic strategies in ways that are broadly consistent with Porter (1980, 1996). Interestingly, strategy formulation and formalization appeared to be the most common in the firms adopting a differentiation strategy, suggesting that other firms may be cost leaders by default, as that is the most common trend found in the agrosector (Hillman & Hitt, 1999; Ketelhöhn et al., 2012).

This study is innovative in its exploration of strategy implementations by businesses that suffer from being under-represented in the literature: entrepreneurial agribusiness based in Latin America (Lopez, Kundu, & Ciravegna, 2008). Thus, the study contributes to the literature on strategy, management, and entrepreneurship (Acquaah & Yasai-Ardekani, 2008; Aulakh et al., 2000; Porter & Kramer, 2011). Given that Latin America is a leading global producer and exporter of agricultural products, studying the strategies of Latin American agribusinesses holds important implications for other companies based in the region, such as multinational agribusiness and related businesses (Sotomayor, Rodríguez, & Rodríguez, 2011). This study can help managers of agribusiness firms in tropical areas of the world assess their strategies and focus their resources on issues that could help find a clearer direction and better strategic positioning to develop a sustainable competitive advantage.

The main limitation of this study is that it is exploratory. The study objectives are indeed to further the management research agenda by developing a conceptual model for the study of strategy implementation by agribusinesses based in Latin America and other emerging markets. Additional research is necessary to develop research hypotheses based on the conceptual model and test them rigorously in a broad range of empirical settings to obtain statistically significant correlations. Future studies could use our conceptual framework (as Figs. 1 and 4 illustrate) as a starting point to analyze agribusiness firms from other regions, for example comparing strategy implementation by low and high value added agribusinesses based in emerging markets and in developed economies.

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